

NVIDIA Corp (NVDA US)

Buy: Solid 2Q-3Q25, but no 'beat and raise'

- ◆ 2Q-3Q25 in line, but no major beat on results or raised guidance
- ◆ Strong 2H25 (FYe Jan) Hopper momentum expected along with wider FY26 AI GPU roadmap
- ◆ Maintain Buy with an unchanged target price of USD145

2Q-3Q25 relatively in line with market expectations but no 'beat and raise':

NVIDIA's 2Q25 (FYe Jan) sales of USD30bn were in line with HSBC/consensus of USD30bn but slightly ahead of management's guidance of USD28bn. 3Q25 sales guidance of USD32.5bn was 2% below HSBC estimate of USD33bn but a slight beat vs consensus of USD31.9bn. 2Q25 datacentre revenue of USD26.62bn was largely in line with our estimates of USD26.4bn but 4% above consensus of USD25.2bn. 2Q25 GM of 75.7% was relatively in line with HSBC/consensus of 75.5%/75.8% along with 3Q25 GM guidance of 75% vs HSBCe/consensus of 75.3%. Overall, results and guidance were in line with our estimates and not bullish enough to see a major beat on results or guidance, as we have seen in previous quarters. Based on FY25 GM guidance of 75%, we also expect implicit 4Q25 GM to now be only 71.8%, down QoQ vs 3Q25 GM of 75% due to upcoming product transitions.

Hopper demand strong in 2H25 as expected; Blackwell still in focus in 4Q25:

Management guided for strong Hopper demand in 2H25 which is in line with our thesis that Nvidia would see stronger Hopper H200s and H20 momentum in 2H25, given potential GB200 delay as highlighted in our 21 Aug note [Roadmap delays](#). Management still expects to see multi-billion Blackwell-related revenue in 4Q25, but we believe October's GB200 product verification remains key to see if it is still on track to ramp up by April 2025. Nevertheless, we still expect 3Q25 and 4Q25 sales of USD33bn and USD36bn, or potential for moderate upside surprise vs consensus of USD31.9bn and USD34.9bn, due mainly to H200 and H20 upside potential.

Wider AI GPU platform roadmap in FY25 expected with less pricing power:

Management also reiterated its growing Blackwell platform roadmap into FY26 which supports our view of new B200A/GB200A AI GPU and GB200A Ultra NVL 36/72 rack solution highlighted in our 21 Aug note. However, we also see less pricing power upside given bias towards lower-spec AI 2025 GPU roadmap. Hence, any upside in FY26 datacenter should be more driven by volume. We still expect FY26e datacenter revenue of USD178.6bn (vs consensus of USD157.6bn), but bullish market expectations of USD200bn in FY26 datacenter revenue and FY26 EPS of USD4.50-5.00 (vs HSBCe: USD4.51) imply there is less upside potential.

Maintain Buy with unchanged target price of USD145: We revise our FY25 EPS estimate by 1% to reflect lower margins in Q4 and keep FY26e unchanged. Our target price of USD145 is based on an unchanged target FY26e PE of 32x. **Key downside risk** includes a slower-than-expected mix shift towards higher ASP AI GPUs.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Equities Semiconductors & Equipment

United States



MAINTAIN BUY

TARGET PRICE (USD)

145.00

PREVIOUS TARGET (USD)

145.00

SHARE PRICE (USD)

125.61

(as of 28 Aug 2024)

UPSIDE/DOWNSIDE

+15.4%

MARKET DATA

Market cap (USDm)	3,081,213	Free float	96%
Market cap (USDm)	3,081,213	BBG	NVDA US
3m ADTV (USDm)	143,427	RIC	NVDA.OQ

FINANCIALS AND RATIOS (USD)

Year to	01/2024a	01/2025e	01/2026e	01/2027e
HSBC EPS	1.30	2.83	4.51	5.94
HSBC EPS (prev)	1.30	2.86	4.51	5.94
Change (%)	0.0	-1.2	0.0	0.0
Consensus EPS	1.24	2.76	3.88	4.53
PE (x)	97.0	44.4	27.9	21.1
Dividend yield (%)	0.1	0.1	0.0	0.0
EV/EBITDA (x)	88.5	38.0	24.1	17.8
ROE (%)	99.3	96.0	74.3	57.0

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

Frank Lee*

Global Head of Tech Hardware & Semi Research
The Hongkong and Shanghai Banking Corporation Limited
frank.lee@hsbc.com.hk
+852 2996 6916

Pulkit Aggarwal*

Associate
Bangalore

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Financials & valuation: NVIDIA Corp

Buy

Financial statements

Year to	01/2024a	01/2025e	01/2026e	01/2027e
Profit & loss summary (USDm)				
Revenue	60,922	125,127	195,251	254,949
EBITDA	34,480	78,600	120,065	154,482
Depreciation & amortisation	-1,508	-3,097	-4,833	-6,311
Operating profit/EBIT	32,972	75,503	115,232	148,171
Net interest	608	1,159	4,040	7,447
PBT	33,818	76,963	119,435	155,996
HSBC PBT	33,818	76,963	119,435	155,996
Taxation	-4,059	-10,896	-17,318	-22,619
Net profit	29,759	66,068	102,117	133,376
HSBC net profit	32,312	70,336	112,111	147,772
Cash flow summary (USDm)				
Cash flow from operations	28,090	69,448	107,967	144,199
Capex	-1,069	-2,196	-3,426	-4,474
Cash flow from investment	-10,566	-2,236	-3,466	-4,514
Dividends	-395	-1,721	-984	-984
Change in net debt	-13,932	-63,036	-101,062	-136,247
FCF equity	27,021	67,252	104,541	139,725
Balance sheet summary (USDm)				
Intangible fixed assets	5,542	5,542	5,542	5,542
Tangible fixed assets	3,914	3,012	1,605	-232
Current assets	44,345	115,503	229,692	377,140
Cash & others	25,984	89,020	190,082	326,329
Total assets	65,728	136,024	248,846	394,498
Operating liabilities	13,041	22,706	40,853	64,191
Gross debt	9,709	9,709	9,709	9,709
Net debt	-16,275	-79,311	-180,373	-316,620
Shareholders' funds	42,978	103,609	198,284	320,597
Invested capital	14,776	12,331	5,904	-8,070

Ratio, growth and per share analysis

Year to	01/2024a	01/2025e	01/2026e	01/2027e
Y-o-y % change				
Revenue	125.9	105.4	56.0	30.6
EBITDA	497.7	128.0	52.8	28.7
Operating profit	680.4	129.0	52.6	28.6
PBT	708.7	127.6	55.2	30.6
HSBC EPS	-61.2	118.4	59.4	31.8
Ratios (%)				
Revenue/IC (x)	4.6	9.2	21.4	-235.4
ROIC	220.8	478.2	1080.6	-11696.5
ROE	99.3	96.0	74.3	57.0
ROA	54.7	64.5	51.3	39.5
EBITDA margin	56.6	62.8	61.5	60.6
Operating profit margin	54.1	60.3	59.0	58.1
EBITDA/net interest (x)				
Net debt/equity	-37.9	-76.5	-91.0	-98.8
Net debt/EBITDA (x)	-0.5	-1.0	-1.5	-2.0
CF from operations/net debt				
Per share data (USD)				
EPS Rep (diluted)	1.19	2.66	4.11	5.37
HSBC EPS (diluted)	1.30	2.83	4.51	5.94
DPS	0.16	0.07	0.04	0.04
Book value	1.74	4.21	8.06	13.04

Valuation data

Year to	01/2024a	01/2025e	01/2026e	01/2027e
EV/sales	50.1	23.9	14.8	10.8
EV/EBITDA	88.5	38.0	24.1	17.8
EV/IC	206.6	242.5	489.3	
PE*	97.0	44.4	27.9	21.1
PB	72.2	29.8	15.6	9.6
FCF yield (%)	0.9	2.2	3.4	4.5
Dividend yield (%)	0.1	0.1	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	01/2024a	Governance Indicators	01/2024a
GHG emission intensity*	0.9	No. of board members	12
Energy intensity*	10.1	Average board tenure (years)	15.0
CO ₂ reduction policy	Yes	Female board members (%)	33.3
Social Indicators		Board members independence (%)	91.7
Employee costs as % of revenues	n/a		
Employee turnover (%)	2.7		
Diversity policy	Yes		

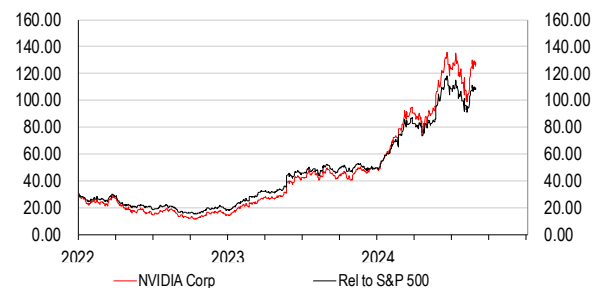
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	125.61	Free float	96%
Target price (USD)	145.00	Sector	Semiconductors
RIC (Equity)	NVDA.OQ	Country/Region	United States
Bloomberg (Equity)	NVDA US	Analyst	Frank Lee
Market cap (USDm)	3,081,213	Contact	+852 2996 6916

Price relative



Source: HSBC

Note: Priced at close of 28 Aug 2024

Exhibit 1: NVIDIA Q2FY25 results summary

(USDm)	Q2FY25a	Guidance	Result vs Guidance	Q2FY25e	Result vs HSBCe	Cons	Result vs Cons	Q1FY25	QoQ	Q2FY24	YoY
Revenue	30,040	28,000	7%	30,010	0%	28,812	4%	26,044	15%	13,507	122%
Datacenter	26,272			26,351	0%	25,165	4%	22,563	16%	10,323	154%
Gaming	2,880			2,778	4%	2,783	3%	2,647	9%	2,486	16%
Professional Visualization	454			444	2%	446	2%	427	6%	379	20%
Auto	346			365	-5%	350	-1%	329	5%	253	37%
OEM & others	88			72	22%	78	12%	78	13%	66	33%
Adj Gross Profit	22,729	21,140	8%	22,737	0%	21,745	5%	20,560	11%	9,614	136%
Adj GM %	75.7%	75.5%	16bps	75.8%	-10bps	75.5%	19bps	78.9%	-328bps	71.2%	448bps
Adj Op income	19,937	18,340	9%	19,777	1%	18,984	5%	18,059	10%	7,776	156%
Adj OPM %	66.4%	65.5%	87bps	65.9%	47bps	65.9%	48bps	69.3%	-297bps	57.6%	880bps
Adj Net income	16,952			16,867	1%	16,032	6%	15,238	11%	6,740	152%
Adj EPS	0.68			0.68	0%	0.65	5%	0.61	11%	0.27	152%

Source: Company data, HSBC estimates, Visible Alpha consensus forecasts

Exhibit 2: Nvidia Q3FY25 guidance comparison and HSBC estimate revision

(USDm)	Q3FY25 Guidance	HSBC old est	Guidance vs HSBC	Cons	Guidance vs Cons	HSBC new est	HSBC est revision
Revenue	32,500	33,001	-1.5%	31,887	1.9%	33,001	0.0%
Adj Gross Profit	24,375	24,851	-1.9%	24,020	1.5%	24,750	-0.4%
Adj GM %	75.0%	75.3%		75.3%		75.0%	
Adj Op income	21,375	21,871	-2.3%	21,059	1.5%	21,771	-0.5%
Adj OPM %	65.8%	66.3%		66.0%		66.0%	

Source: Company data, HSBC estimates, Visible Alpha consensus forecasts

Key takeaways from 2Q25 earnings call

2Q25 results:

- ◆ Revenue of USD30.0bn (up 15% QoQ and 122% YoY) came in ahead of guidance of USD28bn driven by continued strength from datacenter segment
- ◆ Non-GAAP gross margin of 75.7% was down by 328bp sequentially and surpassed the guidance of 75.5%. The sequential decrease was driven by inventory provisions for low-yielding Blackwell material and a higher mix of new products within datacenter segment
- ◆ Non-GAAP operating margin of 66.4% decreased by 297bp sequentially and came in ahead of guidance of 65.5%
- ◆ Non-GAAP EPS of USD0.68 was up 11% QoQ.

3Q25e outlook:

- ◆ Revenue expected to be USD32.5bn, at mid-point implying 8% q-o-q increase
- ◆ Non-GAAP gross margin expected to be 75.0%, at mid-point
- ◆ Non-GAAP opex of USD3.0bn implies a non-GAAP OPM of 65.8%

FY25e outlook

- ◆ Management expects Blackwell series to contribute multi-billion-dollar revenue in 4Q25e
- ◆ FY25e GM expected to be in mid-70% range
- ◆ FY25e opex expected to increase in mid to upper 40% range y-o-y

Others

- ◆ The Board of Directors approved an additional USD50.0bn to Nvidia's share repurchase authorization

Exhibit 3: Nvidia datacentre revenue estimates

(USDm)	FY25e	FY26e	FY27e
Total AI chips revenue	90,463	76,220	74,721
Total NVL server rack revenue	-	74,563	125,744
Mellanox	14,705	19,895	23,801
Others	4,712	7,939	11,509
Total	109,881	178,617	235,775
Consensus	106,728	157,616	190,815
Difference	3%	13%	24%

Source: HSBC estimates, Visible Alpha consensus estimates

Exhibit 4: HSBC estimate changes and comparison to consensus

(USDm)	New			Old			Change			Consensus			HSBC vs consensus		
	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Sales	125,127	195,251	254,949	125,098	195,251	254,949	0%	0%	0%	121,658	171,106	201,463	3%	14%	27%
- y-o-y change	105%	56%	31%	105%	56%	31%				100%	41%	18%			
Adjusted gross profits	93,900	147,982	192,836	95,313	147,982	192,836	-1%	0%	0%	92,587	127,691	147,097	1%	16%	31%
- Adjusted GM	75.0%	75.8%	75.6%	76.2%	75.8%	75.6%				76.1%	74.6%	73.0%			
Adjusted operating profits	82,491	128,731	166,397	83,736	128,731	166,397	-1%	0%	0%	81,236	114,055	132,563	2%	13%	26%
- Adjusted OPM	65.9%	65.9%	65.3%	66.9%	65.9%	65.3%				66.8%	66.7%	65.8%			
Adjusted Net income	70,336	112,111	147,772	71,257	112,241	147,958	-1%	0%	0%	68,567	96,344	112,577	3%	16%	31%
Adjusted EPS (USD)	2.83	4.51	5.94	2.86	4.51	5.94	-1%	0%	0%	2.76	3.88	4.53	3%	16%	31%
- y-o-y changes	118%	59%	32%	121%	58%	32%				113%	41%	17%			

Source: Visible Alpha consensus forecasts, HSBC estimates

Exhibit 5: NVIDIA annual and quarterly P&L

(USDm)	FY1/2024	FY1Q25	FY2Q25	FY3Q25e	FY4Q25e	FY1/2025e	FY1Q26e	FY2Q26e	FY3Q26e	FY4Q26e	FY1/2026e	FY1/2027e
Sales	60,922	26,044	30,040	33,001	36,043	125,127	37,911	41,188	53,527	62,625	195,251	254,949
- YoY	126%	262%	122%	82%	63%	105%	46%	37%	62%	74%	56%	31%
- QoQ		18%	15%	10%	9%		5%	9%	30%	17%		
Gross profits	44,301	20,406	22,574	24,008	25,085	92,073	27,829	30,262	39,356	46,096	143,543	187,051
Gross margin	72.7%	78.4%	75.1%	72.8%	69.6%	73.6%	73.4%	73.5%	73.5%	73.6%	73.5%	73.4%
- YoY	188%	339%	139%	79%	49%	108%	36%	34%	64%	84%	56%	30%
- QoQ		22%	11%	6%	4%		11%	9%	30%	17%		
Operating profits	32,972	16,909	18,642	19,553	20,399	75,503	22,332	24,290	31,594	37,015	115,232	148,171
OP margin	54%	65%	62%	59%	57%	60%	59%	59%	59%	59%	59%	58%
- YoY	680%	690%	174%	88%	50%	129%	32%	30%	62%	81%	53%	29%
- QoQ		24%	10%	5%	4%		9%	9%	30%	17%		
Net income	29,759	14,881	16,599	16,982	17,706	66,068	19,992	21,667	27,912	32,546	102,117	133,376
- YoY	581%	628%	168%	84%	44%	122%	34%	31%	64%	84%	55%	31%
- QoQ		21%	12%	2%	4%		13%	8%	29%	17%		
Net margin	49%	57%	55%	51%	49%	53%	53%	53%	52%	52%	52%	52%
EPS (USD)	1.19	0.60	0.67	0.68	0.71	2.66	0.80	0.87	1.12	1.31	4.11	5.37
- YoY	-31%	629%	170%	84%	44%	123%	35%	30%	64%	84%	55%	31%
- QoQ		21%	12%	2%	4%		13%	8%	29%	17%		
Non-GAAP												
Gross profit	44,958	20,560	22,729	24,750	25,861	93,900	28,690	31,198	40,573	47,521	147,982	192,836
Gross margin	73.8%	78.9%	75.7%	75.0%	71.8%	75.0%	75.7%	75.7%	75.8%	75.9%	75.8%	75.6%
Operating profit	37,134	18,059	19,937	21,771	22,724	82,491	24,952	27,137	35,295	41,347	128,731	166,397
Operating margin	61.0%	69.3%	66.4%	66.0%	63.0%	65.9%	65.8%	65.9%	65.9%	66.0%	65.9%	65.3%
Net income	32,312	15,238	16,952	18,592	19,394	70,336	21,957	23,802	30,687	35,665	112,111	147,772
EPS	1.30	0.61	0.68	0.75	0.78	2.83	0.88	0.96	1.23	1.43	4.51	5.94
- YoY	-61%	462%	153%	86%	51%	118%	44%	40%	65%	84%	59%	32%
- QoQ		19%	11%	10%	4%		13%	8%	29%	16%		

Source: Company data, HSBC estimates

Exhibit 6: NVIDIA forward PE trend


Source: Bloomberg

Valuation and risks

Valuation

Risks to our view

NVIDIA
NVDA US
Buy

Current price:

USD125.61

Target price:

USD145.00

Upside:

15.4%
Methodology: FY26 target PE multiple.

Assumptions: Target FY26 PE of 32x applied to our FY26e EPS estimate of USD4.51. Our 32x is based on 0.5SD below the 5-year historical average, as we acknowledge that the hyper growth rate from the early stages of generative AI training will start to decelerate.

Downside risks

- ◆ slower-than-expected mix shift towards higher ASP AI GPUs
- ◆ lower investment from cloud service providers in generative AI
- ◆ weaker-than-expected overall datacenter momentum
- ◆ geopolitical uncertainties

 Priced at 28 Aug 2024
 Source: HSBC estimates

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Frank Lee

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 30 June 2024, the distribution of all independent ratings published by HSBC is as follows:

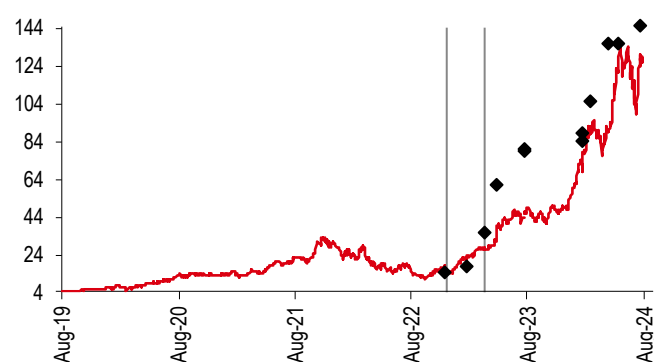
Buy	56%	(14% of these provided with Investment Banking Services in the past 12 months)
Hold	38%	(15% of these provided with Investment Banking Services in the past 12 months)
Sell	7%	(10% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities

NVIDIA Corp (NVDA.OQ) share price performance USD
Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Reduce	14 Dec 2022	Frank Lee
Reduce	Buy	17 Apr 2023	Frank Lee
Target price	Value	Date	Analyst
Price 1	13.60	14 Dec 2022	Frank Lee
Price 2	17.50	23 Feb 2023	Frank Lee
Price 3	35.50	17 Apr 2023	Frank Lee
Price 4	60.00	25 May 2023	Frank Lee
Price 5	78.00	20 Aug 2023	Frank Lee
Price 6	80.00	24 Aug 2023	Frank Lee
Price 7	83.50	18 Feb 2024	Frank Lee
Price 8	88.00	22 Feb 2024	Frank Lee
Price 9	105.00	17 Mar 2024	Frank Lee
Price 10	135.00	10 May 2024	Frank Lee
Price 11	135.00	13 Jun 2024	Frank Lee
Price 12	145.00	21 Aug 2024	Frank Lee

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
NVIDIA CORP	NVDA.OQ	125.61	28 Aug 2024	5, 7

Source: HSBC

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Issuer of report

The Hongkong and Shanghai Banking Corporation Limited
Level 30, 1 Queen's Road Central
Hong Kong SAR
Telephone: +852 2843 9111
Fax: +852 2596 0200
Website: www.research.hsbc.com

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